

BANKING STRUCTURE, NBFCS AND FINANCIAL REGULATION

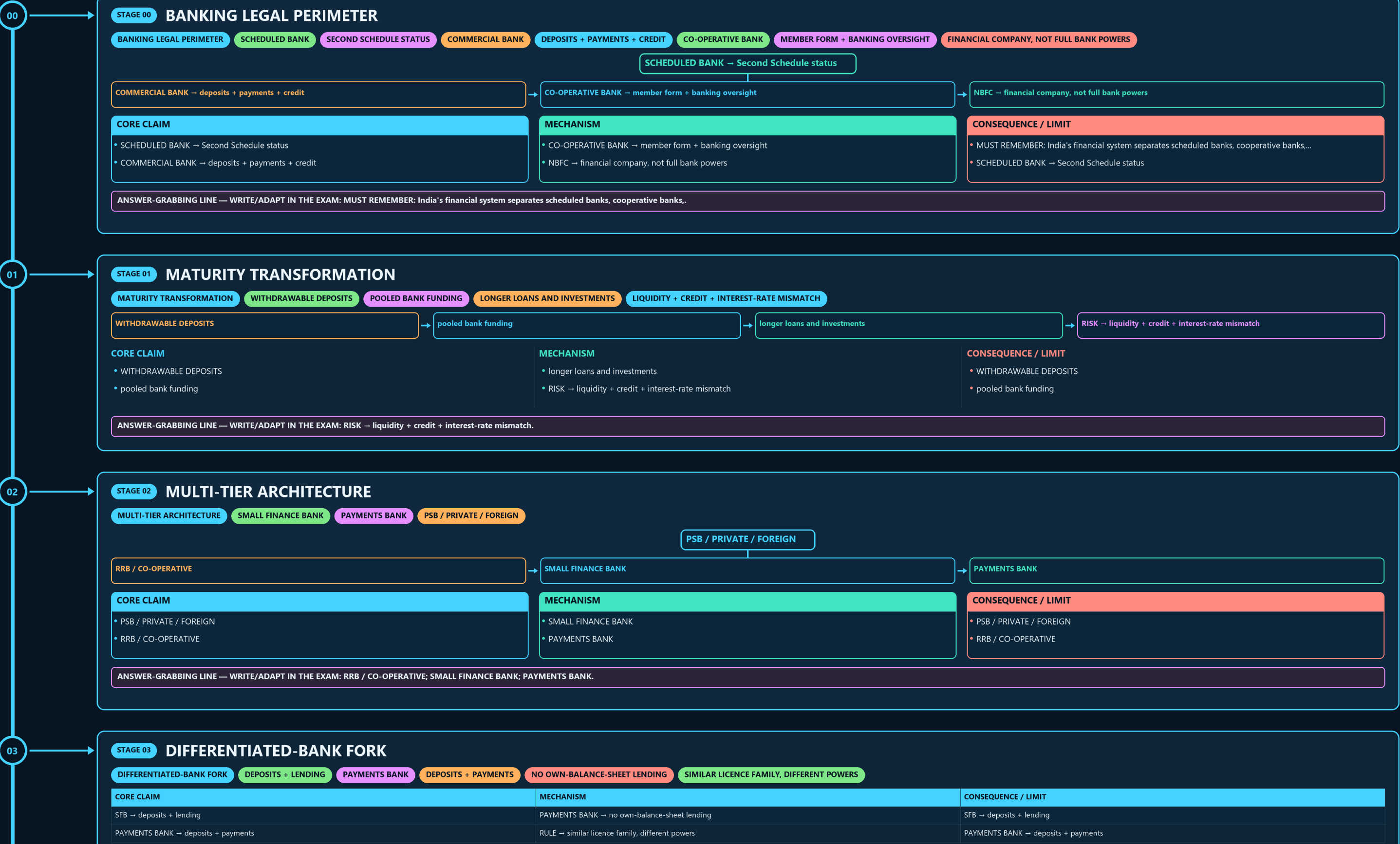
BANKING LEGAL PERIMETER → MATURITY TRANSFORMATION → MULTI-TIER ARCHITECTURE → DIFFERENTIATED-BANK FORK → RURAL-CREDIT MAP → PSL TARGET BOARD

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g3 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles



03

• RRB / CO-OPERATIVE

• PAYMENTS BANK

• RRB / CO-OPERATIVE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RRB / CO-OPERATIVE; SMALL FINANCE BANK; PAYMENTS BANK.

04

STAGE 03

DIFFERENTIATED-BANK FORK

DIFFERENTIATED-BANK FORKDEPOSITS + LENDINGPAYMENTS BANKDEPOSITS + PAYMENTSNO OWN-BALANCE-SHEET LENDINGSIMILAR LICENCE FAMILY, DIFFERENT POWERS

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
SFB → deposits + lending	PAYMENTS BANK → no own-balance-sheet lending	SFB → deposits + lending
PAYMENTS BANK → deposits + payments	RULE → similar licence family, different powers	PAYMENTS BANK → deposits + payments
CORE CLAIM • SFB → deposits + lending • PAYMENTS BANK → deposits + payments	MECHANISM • PAYMENTS BANK → no own-balance-sheet lending • RULE → similar licence family, different powers	CONSEQUENCE / LIMIT • SFB → deposits + lending • PAYMENTS BANK → deposits + payments

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PAYMENTS BANK → no own-balance-sheet lending; RULE → similar licence family, different powers.

05

STAGE 04

RURAL-CREDIT MAP

RURAL-CREDIT MAPRURAL INTERMEDIARYLEAD BANKDISTRICT COORDINATIONSERVICE AREALOCAL RESPONSIBILITYCOVERAGE DOES NOT ENSURE VIABLE CREDIT

RRB → rural intermediary

LEAD BANK → district coordination

SERVICE AREA → local responsibility

LIMIT → coverage does not ensure viable credit

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• RRB → rural intermediary	• SERVICE AREA → local responsibility	• RRB → rural intermediary
• LEAD BANK → district coordination	• LIMIT → coverage does not ensure viable credit	• LEAD BANK → district coordination

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → coverage does not ensure viable credit.

06

STAGE 05

PSL TARGET BOARD

PSL TARGET BOARDMOST DOMESTIC BANKS40 PER CENT OVERALL18 PER CENTSMALL/MARGINAL FARMERS10 PER CENTWEAKER SECTIONS12 PER CENT

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
MOST DOMESTIC BANKS → 40 per cent overall	SMALL/MARGINAL FARMERS → 10 per cent	CLOSE DISTINCTION: Bank is not NBFC, deposit-taking permission is not universal,...
AGRICULTURE → 18 per cent	WEAKER SECTIONS → 12 per cent	MOST DOMESTIC BANKS → 40 per cent overall
CORE CLAIM • MOST DOMESTIC BANKS → 40 per cent overall • AGRICULTURE → 18 per cent	MECHANISM • SMALL/MARGINAL FARMERS → 10 per cent • WEAKER SECTIONS → 12 per cent	CONSEQUENCE / LIMIT • CLOSE DISTINCTION: Bank is not NBFC, deposit-taking permission is not universal,... • MOST DOMESTIC BANKS → 40 per cent overall

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Bank is not NBFC, deposit-taking permission is not universal,.

07

STAGE 06

PSL STATUS GATE

PSL STATUS GATETARGETS COME FROM RBI MASTER DIRECTIONS

CATEGORIES AND SUB-TARGETS CAN CHANGE

QUOTE THE EFFECTIVE DIRECTION

DO NOT CALL A RATIO PERMANENT

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• TARGETS COME FROM RBI MASTER DIRECTIONS	• QUOTE THE EFFECTIVE DIRECTION	• TARGETS COME FROM RBI MASTER DIRECTIONS

BANKING STRUCTURE, NBFCs AND FINANCIAL REGULATION • TILE 2/4 • same master rows 2545-5779 of 10870 • continues below

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Bank is not NBFC, deposit-taking permission is not universal,.

06

STAGE 06 PSL STATUS GATE

PSL STATUS GATE TARGETS COME FROM RBI MASTER DIRECTIONS CATEGORIES AND SUB-TARGETS CAN CHANGE QUOTE THE EFFECTIVE DIRECTION DO NOT CALL A RATIO PERMANENT

TARGETS COME FROM RBI MASTER DIRECTIONS

CATEGORIES AND SUB-TARGETS CAN CHANGE

QUOTE THE EFFECTIVE DIRECTION

DO NOT CALL A RATIO PERMANENT

CORE CLAIM

- TARGETS COME FROM RBI MASTER DIRECTIONS
- CATEGORIES AND SUB-TARGETS CAN CHANGE

MECHANISM

- QUOTE THE EFFECTIVE DIRECTION
- DO NOT CALL A RATIO PERMANENT

CONSEQUENCE / LIMIT

- TARGETS COME FROM RBI MASTER DIRECTIONS
- CATEGORIES AND SUB-TARGETS CAN CHANGE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: QUOTE THE EFFECTIVE DIRECTION; DO NOT CALL A RATIO PERMANENT.

07

STAGE 07 NBFC CONTAGION CHAIN

NBFC CONTAGION CHAIN WHOLESALE FUNDING + MATURITY MISMATCH DHFL STRESS MUTUAL FUNDS + BANKS + MARKETS NON-BANK STRESS CAN BE SYSTEMIC

WHOLESALE FUNDING + MATURITY MISMATCH

IL&FS / DHFL stress

mutual funds + banks + markets

LESSON → non-bank stress can be systemic

CORE CLAIM

- WHOLESALE FUNDING + MATURITY MISMATCH
- IL&FS / DHFL stress

MECHANISM

- mutual funds + banks + markets
- LESSON → non-bank stress can be systemic

CONSEQUENCE / LIMIT

- WHOLESALE FUNDING + MATURITY MISMATCH
- IL&FS / DHFL stress

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: mutual funds + banks + markets; LESSON → non-bank stress can be systemic.

08

STAGE 08 DEPOSITOR PROTECTION BOUNDARY

DEPOSITOR PROTECTION BOUNDARY ELIGIBLE BANK DEPOSITS OWNER CAP RS 5 LAKH PER DEPOSITOR PER BANK SECURITIES + INSURANCE + ORDINARY NBFC CLAIMS PREVENTION, NOT PAYOUT

DICGC → eligible bank deposits

OWNER CAP → Rs 5 lakh per depositor per bank

OUT → securities + insurance + ordinary NBFC claims

PCA → prevention, not payout

CORE CLAIM

- DICGC → eligible bank deposits
- OWNER CAP → Rs 5 lakh per depositor per bank

MECHANISM

- OUT → securities + insurance + ordinary NBFC claims
- PCA → prevention, not payout

CONSEQUENCE / LIMIT

- DICGC → eligible bank deposits
- OWNER CAP → Rs 5 lakh per depositor per bank

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OUT → securities + insurance + ordinary NBFC claims.

09

STAGE 09 REGULATORY PERIMETER

REGULATORY PERIMETER BANKS + NBFCs + PAYMENTS CROSS-SECTOR COORDINATION RBI → BANKS + NBFCs + PAYMENTS

RBI → banks + NBFCs + payments

SEBI → securities

IRDAI / PFRDA → insurance / pensions

FSDC → cross-sector coordination

CORE CLAIM

- RBI → banks + NBFCs + payments
- SEBI → securities

MECHANISM

- IRDAI / PFRDA → insurance / pensions
- FSDC → cross-sector coordination

CONSEQUENCE / LIMIT

- RBI → banks + NBFCs + payments
- SEBI → securities

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: IRDAI / PFRDA → insurance / pensions; FSDC → cross-sector coordination.

09

STAGE 09

REGULATORY PERIMETER

REGULATORY PERIMETERBANKS + NBFCs + PAYMENTS

CROSS-SECTOR COORDINATION

RBI → BANKS + NBFCs + PAYMENTS

RBI → banks + NBFCs + payments

SEBI → securities

IRDAI / PFRDA → insurance / pensions

FSDC → cross-sector coordination

CORE CLAIM

RBI → banks + NBFCs + payments

SEBI → securities

MECHANISM

IRDAI / PFRDA → insurance / pensions

FSDC → cross-sector coordination

CONSEQUENCE / LIMIT

RBI → banks + NBFCs + payments

SEBI → securities

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: IRDAI / PFRDA → insurance / pensions; FSDC → cross-sector coordination.

10

STAGE 10

BALANCE-SHEET AND INCLUSION TRAPS

BALANCE-SHEET AND INCLUSION TRAPS

ACCESS + USAGE + QUALITY

SHARED EXPOSURE, NOT ZERO RISK

LOANS / INVESTMENTS → ASSETS

LOANS / INVESTMENTS → assets

DEPOSITS → liabilities

FI-INDEX → Access + Usage + Quality

SYNDICATION → shared exposure, not zero risk

CORE CLAIM

LOANS / INVESTMENTS → assets

DEPOSITS → liabilities

MECHANISM

FI-INDEX → Access + Usage + Quality

SYNDICATION → shared exposure, not zero risk

CONSEQUENCE / LIMIT

LOANS / INVESTMENTS → assets

DEPOSITS → liabilities

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: FI-INDEX → Access + Usage + Quality; SYNDICATION → shared exposure, not zero risk.

11

STAGE 11

FINANCIAL-REGULATION ANSWER SPINE

FINANCIAL-REGULATION ANSWER SPINE

CLASSIFY INSTITUTION AND POWERS

MAP FUNDING + LEVERAGE + SAFETY NET

TRACE CONTAGION AND SUPERVISION

BALANCE INCLUSION, DIVERSITY AND STABILITY

EVIDENCE LIMIT

IDENTIFY REGULATOR, STATUTE/DIRECTION

CLASSIFY institution and powers

MAP funding + leverage + safety net

TRACE contagion and supervision

BALANCE inclusion, diversity and stability

EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Identify regulator, statute/direction

CORE CLAIM

CLASSIFY institution and powers

MAP funding + leverage + safety net

MECHANISM

TRACE contagion and supervision

BALANCE inclusion, diversity and stability

CONSEQUENCE / LIMIT

EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Identify regulator, statute/direction,...

CLASSIFY institution and powers

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Identify regulator, statute/direction,.

E

EXTRA

SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT

BANKING COMBINES LEVERAGE, RUNNABLE LIABILITIES AND MATURITY TRANSFORMATION, WHICH

NBFC VULNERABILITY OFTEN COMES FROM WHOLESALE FUNDING, ASSET-LIABILITY MISMATCH

SCALE-BASED REGULATION SEEKS PROPORTIONALITY WHILE TIGHTENING RULES AS SYSTEMIC

CONSOLIDATED SUPERVISION IS NECESSARY WHEN RISKS MOVE ACROSS GROUP

RESOLUTION REGIMES SHOULD PROTECT CRITICAL FUNCTIONS WITHOUT GUARANTEEING SHAREHOLDERS

COMPETITION POLICY, CONSUMER PROTECTION, CYBER RESILIENCE AND PRUDENTIAL SAFETY

REGULATES BANKS, CO-OPERATIVE BANKING FUNCTIONS AND SPECIFIED NBFC CATEGORIES.

OPTIONAL SOURCE DEPTH

CAUTION: Banking combines leverage, runnable liabilities and maturity transformation, which

CAUTION: NBFC vulnerability often comes from wholesale funding, asset-liability mismatch and

CAUTION: Scale-based regulation seeks proportionality while tightening rules as systemic

CAUTION: Consolidated supervision is necessary when risks move across group entities or market

ADVANCED DEBATE

CAUTION: Resolution regimes should protect critical functions without guaranteeing shareholders

CAUTION: Competition policy, consumer protection, cyber resilience and prudential safety are

RBI: regulates banks, co-operative banking functions and specified NBFC categories.

DICGC: insures eligible deposits in covered banks within the statutory framework.

LEGACY / NUANCE

SEBI, IRDAI and PFRDA: regulate securities, insurance and pension sectors

Financial Stability and Development Council: supports inter-regulatory coordination

CAUTION: A bank can offer demand deposits and payment services; an ordinary NBFC cannot issue

CAUTION: A wholesale-funded NBFC can face a rollover crisis even without retail deposit

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.